China's gross domestic product (GDP) grew at an average rate of 11 percent, with investment of 41.5 percent of GDP. After the global financial crisis, its growth rate and total factor productivity (TFP) growth slowed, and the shortfall in demand was made up almost completely by an increase in investment, reaching more than 50 percent of GDP in recent years. Thus, from 2003 to 2008, when annual growth averaged more than 11 percent, it took just 1 yuan of extra credit to generate 1 yuan of GDP growth, according to Morgan Stanley calculations. It took 2 for 1 from 2009–2010, when Beijing embarked on a massive stimulus program to combat the effects of the global financial crisis, and 4 for 1 in 2015, but by 2016, it required 6 yuan for every yuan of growth.[26]

David Dollar shows how different growth paths for authoritarian and democratic states correlate with the quality of their institutions at different stages of development.[27] This is important for emerging economies such as the BRICS, which face a middle-income trap after exploiting the so-called easy sources of growth (rural-urban migration, expanding exports from a low base, etc.), but find it difficult to develop new sources of growth, such as technological innovation, that are essential to advance to high-income status.[28] For example, Brazil and South Africa each already has experienced a period of significant industrialization; consequently, their most intense period for reaping the ephemeral advantages of backwardness has passed. Appropriately, former Brazilian finance minister Luiz Carlos Bresser-Pereira refers to Brazil's "economic miracle" years of industrial growth of 7 to 10 percent annually (1968–1973), as "Brazil's China moment"—an era of unusually high growth resulting from large efficiency gains from early industrialization, once passed, never to return.[29] Governments in both countries are now mired in corruption scandals in which the electoral necessity of rewarding political supporters, as well as the parliamentary demands of holding together a heterogeneous governing coalition, have fatally undercut the state's ability to be genuinely developmentalist. Some analysts contend that a state-led industrialization strategy may work in a world ruled by neutral, politically insulated technocrats,[30] but in contemporary Brazil and South Africa—as well as in India—the rather likely alternative outcome is inefficient crony capitalism.[31]

In practice, countries face a risk at every level of development that they may descend into a low-growth equilibrium. Hypothesizing that high-quality institutions will allow countries to adjust to maintain significant growth,